

Accumulated leave (posts): Accumulated annual leave is classified as a long-term employee benefit for staff members holding permanent, continuing or fixed term contracts. Staff in posts may normally accrue up to 15 days of annual leave in a given year, and a total accumulated balance of 60 days. Notwithstanding the foregoing, due to the COVID-19 pandemic exceptional measures were introduced to allow the accrual of up to 20 days annual leave in 2020, and a total accumulated balance of 80 days to be carried forward to 2021. On separation from service, staff in posts who have accumulated annual leave can receive a payment in lieu of an amount equivalent to their salary for the period of accumulated annual leave, up to a maximum of 60 days.

Employee benefit liabilities for ASHI, repatriation grant and travel, and accumulated leave (posts) are calculated by an independent actuary. Actuarial assumptions have a significant effect on the amounts calculated for employee benefit liabilities. A description of the factors which impact the size of the ASHI liability is included in the financial statement discussion and analysis which precedes these financial statements. The principal actuarial assumptions applied in determining these liabilities are detailed below. Discount rates were determined using AA Corporate Bond Yield Curves:

	December 31, 2020	December 31, 2019
After-Service Health Insurance		
Discount rate	0.30%	0.50%
Discount rate currency	CHF, EUR, USD (weighted)	CHF, EUR, USD (weighted)
Medical cost trend rate	2.90%	3.00%
Age-grading rates:		
50-59	10.00%	3.00-3.50%
60-64	8.00%	2.50%
65-69	4.00%	2.00%
70-74	2.00%	1.50%
75-79	1.00%	1.00%
80+	0.00%	0.00-0.50%
Repatriation Grant and Travel		
Discount rate	2.10%	3.00%
Discount rate currency	USD	USD
Rate of salary increase	2.78%	2.54%
Accumulated leave (posts)		
Discount rate	0.00%	0.10%
Discount rate currency	CHF	CHF
Rate of salary increase	UNJSPF rates	UNJSPF rates

The present value of the defined benefit obligations for ASHI is determined using the projected unit credit method including discounting the estimated future cash outflows. In accordance with IPSAS the Organization's ASHI liability is considered as unfunded as no plan assets are held in a legally separate entity or fund, and therefore no plan assets are deducted from the liability as recognized in the Statement of Financial Position. However, it should be noted that the Organization has established separate funds (strategic cash) for the future financing of after-service employee benefit liabilities. The table below details the expense for ASHI recognized in the Statement of Financial Performance:

	December 31, 2020	December 31, 2019
<i>(in thousands of Swiss francs)</i>		
Interest cost	1,559	2,711
Current service cost	26,559	15,461
Expense recognized in the Statement of Financial Performance	28,118	18,172